

Idea

The idea would be, that we make a dynamic model, that incorporated a concept of hysteresis to model the asset price.

A scetch could look like this

$$Y_t = ND_t + cD_t$$

$$ND_t = bY_t$$

$$D_t = d_0 - d_1 r_t$$

$$i_t = i_0 + i_1 P_t$$

$$r_t = (1 + m)i_t$$

$$dL = cD_t + SD_t$$

$$dM_t = dL_t$$

$$dR_t = k dM_t$$

$$P_t = (1 + n)aW_t$$

$$W_t = W_0 - hU_t$$

$$N_t = aY_t$$

$$U_t = 1 - \frac{N_t}{N^f}$$

$$SD_t =$$

$$AP_t = \arg \min_m U(m) - \langle u, SD_t \rangle + \chi \|m - AP_{t-1}\|$$